REVENUE POLICY OF GOVERNMENT EMARKETPLACE ("GeM") w.e.f. 26/08/2025 (v 1.6)

Date of Policy	26/08/2025
Revision effective from	26/08/2025
Version No.	1.6

1. Applicability of the Revenue Policy

This updated Revenue Policy v 1.6 will be applicable on the bids with bid opening date on or after 26/08/2025. For the bids with bid opening date before 26/08/2025, the previous revenue policy w.e.f. 09.08.2024 (V.1.5) shall be applicable.

a) The terms contained in this document shall have the same meaning as defined under the General Terms and Conditions of GeM, as amended from time to time unless defined in this revenue policy.

2. Applicable Transaction Charges & Annual Milestone Charges

a) A one-time "Annual Milestone Charge" of INR 10,000 + applicable taxes, shall be levied on all the Sellers clocking a threshold Seller Merchandise Value of INR 20 lakh in each financial year

b) Seller Merchandise Value shall be reckoned as the progressive total of order values placed to seller during a financial year

c) "Annual Milestone Charge" shall be recovered from the seller simultaneous to its clocking the threshold Seller Merchandise Value of INR 20 lakh

d) For the Sellers who have clocked the threshold Seller Merchandise Value, following Transaction Charges rates shall be levied in each order: -

Order Value (INR)	**Transaction Charges slab (INR) (Exclusive of taxes)**
> 10 Lakh but < 10 Cr.	0.30% of the Order value
≥ 10 Cr.	Flat Fee of 3,00,000

e) No Transaction charge shall be payable by the Seller, in the following cases.

   a. For individual orders with order value less than or equal to INR 10 lakh

   b. For orders which are awarded to the Seller before the Seller Merchandise Value of INR 20 Lakh is clocked

f) Date of placement of the order/ Contract shall be considered for the purpose of calculating Seller Merchandise Value

   i. The revenue policy V1.6 shall be applicable on the bids with bid opening date on or after 26/08/2025. In respect of Direct Purchase/L1 buying, above mentioned transaction charges shall be applicable on all the orders placed on GeM portal on or after 26/08/2025.

3. **Payment of Transaction Charges**

a) The Sellers shall become liable to pay Transaction Charges along with the Annual Milestone Charges (if applicable) on the event of award of the Contract to the Seller by the Buyer on GeM portal.

b) Invoice for Transaction Charges and/or Annual Milestone Charges (if applicable) can be generated by the Seller within 5 days of award of the contract by selecting the relevant GSTN. In case the Seller does not generate invoice within 5 days of award of the Contract then GeM portal will automatically generate the invoice on default GSTN of the Seller available on GeM portal.

c) **Based on whichever is earlier**

The Seller would be required to pay transaction charges or Annual Milestone Charges or both to GeM

i. within 15 days of award of the Contract on GeM portal by the Buyer to the Seller;

or,

ii. before raising first invoice to Buyer on GeM Portal by the Seller;

or,

iii. on or before due date of the first delivery to the Buyer as per the Contract awarded;

whichever is earlier.

d) Levy of Annual Milestone/Transaction Charges shall be subject to government levy (e.g. GST), as applicable. For all purposes as mentioned above, each financial year shall be treated as a separate and non-fungible unit.

e) **Failure in payment of the Transaction Charge or Annual Milestone Charges or Both by seller**: If the seller fails to pay the Transaction charges or Annual Milestone Charge or both within the stipulated timelines as indicated above, then action will be taken as per Incident Management Policy of GeM. The seller account will be resumed only after the successful payment of pending Transaction charges or Annual Milestone Charge or both

4. **Refund of Transaction Charges in case of Termination of Contract by the Buyer**

a) In the case of termination of the Contract by the Buyer, the Seller shall be eligible for refund of Transaction Charges only in the following cases:

i. Incorrect selection of goods or services by Buyer;

ii. In case the particular order was placed erroneously by Buyer;

iii. Product/service not required or partially required, as a result of which the Buyer refused full or part quantity of product/service or requested for discontinuation of service(s) during the contractual period;

iv. Consignee is not available to receive the Product/Service;

b) If Product/service are partially required, as a result of which the Buyer refused part quantity of product/service or requested for discontinuation of service(s); then the Seller would only be eligible for refund of transaction charges on pro-rata basis subject to meeting other relevant conditions pertaining to refund.

c) The Seller is only eligible for refund if the Contract is terminated or partly closed or amended by the Buyer within 6 months of award of the Contract.

d) The timeline for submission of claim towards refund of transaction charge paid by the Seller shall be 90 (ninety) days from the date of termination of Contract by the Buyer. However, it may be noted that, this

applicable subject to meeting conditions stated in above points. The transaction charges will be refunded after doing necessary admissible deduction and pending dues of the Seller towards GeM (if any).

e) The Seller shall not be entitled for refund of Transaction Charges in case Buyer terminates the Contract due to non- fulfilment of any contractual obligations by the Seller or due to any omission/misleading /false information provided by the Seller.

5. Government (Buyer) to Government (Seller) Contracts:

a) No Transaction charges are payable if the Buyer is Government (Buyer) and the Seller is a Government (Seller). However, if such a contract is generated through a bidding process in which Private Entities are also allowed to bid along with Government bidders, then this exemption will not be applicable and Government seller would also be required to pay transaction charges. The exemption would only be applicable if the bid process is limited to Government (Buyer) to Government (Seller) or there is no bidding or contract awarded on a nomination basis to Government (Seller) by Government (Buyer).

b) Government Sellers are exempted from the payment of the Transaction Charges as per the table below:

Seller	Buyer	Restricted bid (Y/N)	Transaction charges exempted (Y/N)
Government Seller	Government Buyer	Yes	Yes
Government Seller	Government Buyer	No	No

Please Note:

c) Restricted bid are bids limited to the Government Sellers, or if there is no bidding, or if Contract is awarded on nomination basis.

d) For all the above scenarios, if Contract is generated through a bidding process in which Private Entities are also allowed to bid along with Government bidders, then such bids would not be considered as restricted bids and exemption to Government Sellers from payment of transaction charges, will not be applicable.

e) For orders exempted from payment of transaction charges, Order value shall still be considered for the purpose of calculating the Seller Merchandise Value and Annual Milestone Charge of INR 10,000 + applicable taxes shall be levied on the Seller at the event of Seller clocking the threshold Seller Merchandise Value of INR 20 lakh.

f) For the exemption from Transaction charges the definition of “Government Buyer” & “Government Sellers” is given below:

1) Bodies created by Resolution of cabinet.
2) Central Autonomous Bodies
3) Central Government
4) Central PSU/CPSEs
5) Comptroller General of Accounts
6) Constitutional bodies
7) Joint Venture of Central & State Government
8) Judiciary bodies
9) Government owned SPV/ Government owned Sec-8 Company

10) State Autonomous Bodies
11) State Government
12) State Local Bodies
13) State PSU/PSE
14) Statutory bodies
15) Union Territories
16) Central Public Sector Banks & Insurance Companies (CPSBs & CPSIs)
17) JVs of above-mentioned entities or any other type of entity with not less than 50% shareholding of above-mentioned entities

6. Nominations basis/Single Tender Enquiry/ Administered price Contracts:

The contracts awarded by Government Buyer to ANY SELLER (Government Seller/Private Seller) will be exempted from transaction charges if awarded through following procurement mode:

A. Contracts awarded on a nomination basis
B. Contracts awarded on Single Tender Enquiry basis
C. Contracts awarded on administered price by the buyer entity where category rules provide for direct contract placement at administered price without price discovery on GeM **(The effective date for exemption from Transaction Charges under the referenced clause shall be notified separately, upon finalization).**

Please Note:
For orders exempted from payment of transaction charges, Order value shall still be considered for the purpose of calculating the Seller Merchandise Value and Annual Milestone Charge of INR 10,000 + applicable taxes shall be levied on the Seller at the event of Seller clocking the threshold Seller Merchandise Value of INR 20 lakh

7. Forward Auction Charge

a) With respect to the Forward Auction Orders on GeM, the following transaction charges shall be applicable:

Order Range (INR)	**Transaction Charges slab (INR) (Exclusive of taxes)**
≥ 20,000	0.30% of Order value subject to a maximum of INR 3,00,000

b) Transaction Charge in case of Forward Auction shall be paid by the Forward Auction Buyer to GeM as defined in the Forward Auction general terms and conditions.

c) No Transaction charge shall be payable for auctions having Order value less than INR 20,000

d) Levy of Forward Auction Charges shall be subject to government levy/ taxes (e.g. GST), as applicable.

8. Business Cockpit-Charges

a) GeM has launched an Enhanced Service Feature for OEMs called "Business Cockpit" which will enable business to get deeper insights and monitor business trends effectively.

b) Business Cockpit will provide OEM access to all the category data, granular level order details and export to Comma Separated Value file (CSV) option enabling OEMs to slice and dice data for better understanding.

c) This feature of Business cockpit will be available to OEMs on GeM at annual subscription charges of

INR 6,00,000/- plus applicable taxes.

9. Rate Contract Charges

a) With respect to the Rate Contract Orders on GeM, the following transaction charges shall be applicable:

Order Range (INR)	**Transaction Charges slab (INR) (Exclusive of taxes)**
Any Value	0.30% of Order value subject to a maximum of INR 3,00,000

b) Levy of Rate Contracts charges shall be subject to government levy/ taxes (e.g., GST), as applicable.

10. Dispute Resolution

In the event of non-payment of applicable Transaction Charges/ Annual Maintenance Charges/ Forward Auction Charges/ Business Cockpit Charges/ Rate Contract Charges by the Seller, GeM reserves its right to initiate action against the Seller or Buyer (in case of Forward Auction) as per the applicable Incident Management Policy of GeM. GeM further reserves its right to initiate appropriate legal proceedings against the Seller or Buyer (in case of Forward Auction)

Any differences or disputes arising out of or in connection with the non-payment of Transaction Charges/ Annual Maintenance Charges/ Forward Auction Charges / Business Cockpit charges/ Rate Contract by the Seller or Buyer (in case of Forward Auction) shall be subject to the exclusive jurisdiction of courts at New Delhi only.

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